

Olevel

Chp:- Inflation

Inflation and deflation



Karak
Mushtaq



Inflation



Prices ↑

Reason :- AD ↑

Production ↑

Demand ↑

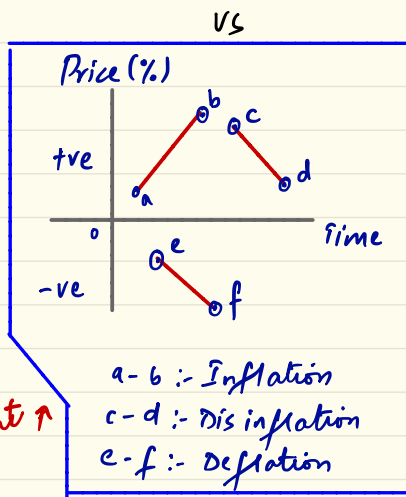
Employment ↑

Short run :- mild inflation

Multiplier effect

income, output and employment ↑

Long run :- Hyper inflation



Deflation → 'Recession'



Prices ↓ (fall)

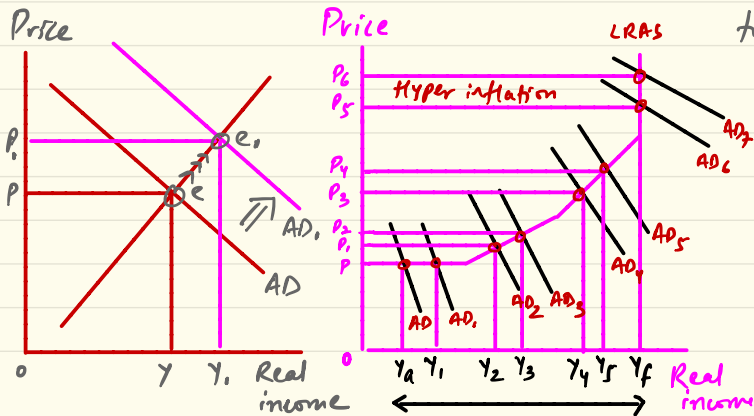
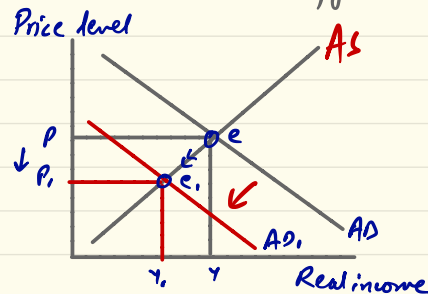
Reason :- AD ↓

Production ↓

Demand ↓

Unemployment ↑

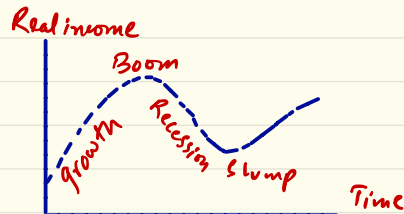
Downward multiplier effect



* Inflation leads to deflation and deflation leads to inflation

Recession!

* Downturn or Downswing in the economic cycle when AD falls, causing downward multiplier effect!



Effects of deflation :- A sustained fall in general price level in an economy or deflation, is a cause of a concern. This is because deflation will usually occur when the demand for goods and services is falling. Firms are able to sell fewer goods and services and so cut their prices and lose profits. Because they do not need to produce so much, and as they try to cut their cost, firms reduce the size of workforce and may cut wages of remaining workers.

Households incomes fall as unemployment rises, further reducing demand. The value of debt held by people and firms will also rise in real terms as prices fall and the burden of making loan repayments will increase. Eventually the economy goes into deep recession as demand, output, the demand for labor, and incomes continue to fall.

Many firms may go out of business because demand continues to fall and they are unable to make any profits no matter how much they cut their prices; deflation will result in downward multiplier effect i.e. income, output and employment will decrease. The advantage of deflation is that our domestic goods will appear cheaper in the international market and therefore increase in exports.

Question

Adv Disadv
↑ ↑

Define + Diagram (AS ↓)

Q1 Explain the effects of deflation on an economy? 8